

downtrend reverses. The rectangle at C in [Figure 1.2](#) is a continuation pattern. Price rises into the start of the rectangle (from B) and exits out the top. That is, price *continues* in the direction of the prevailing price trend.

[Table 1.1](#) Reversals (R) versus Continuations (C)

	Bull Market, Up Breakout	Bear Market, Up Breakout
Winner	Reversals (55%)	Reversals (73%)
Performance	43% R, 42% C	30% R, 26% C
	Bull Market, Down Breakout	Bear Market, Down Breakout
Winner	Continuations (87%)	Continuations (75%)
Performance	–14% R, –16% C	–22% R, –23% C

Winner. [Table 1.1](#) tells us that reversals work best after upward breakouts and continuations work best after downward breakouts. For example, I found 55% of chart patterns acting as reversals outperformed continuation patterns in bull markets after upward breakouts. Almost all (87%) of the chart patterns after downward breakouts in bull markets showed patterns acting as continuations beating those which acted as reversals.

Performance. This line in the table shows the average gain or loss for the contests. For example, reversals in bull markets after upward breakouts gained 43%. Continuation patterns saw price rise 42%. Notice that the differences between the contests are often narrow. Continuations, for example, lead by one or two percentage points. The narrow lead is a warning that the indicator is weak as a predictor of future performance.

[Table 1.2: Height.](#) Do tall patterns outperform short ones? Tall or short is a measure of the height of the chart pattern divided by the breakout price.

Winner. This line shows how chart pattern performance varies with height. I contend that tall patterns outperform short ones, and we find that belief is true in all market conditions and breakout directions. For example, tall patterns win all of the contests (100%) after downward breakouts in bull markets.

Performance. The performance averages are wide, too, with tall patterns gaining an average of 46% and short ones gaining just 39% (bull market, up